

Powering the UK

Mapping out the UK's
clean energy sector



Beauhurst

This report analyses the ambitious private companies operating in the UK's clean energy sector and the supporting mechanisms for growth. We've mapped out the landscape and have handpicked some of the most interesting companies by 5 metrics.

Whether you work with or within the sector, we hope this report sheds some interesting light on this critical ecosystem.

The Climate Change Act 2008 committed the UK government to reduce greenhouse gas emissions by at least **80%** of 1990 levels by 2050.

The government therefore has a vested interest in helping innovative clean energy companies to grow and compete with the heavyweight industry incumbents that dominate the energy industry.

What do we mean by “ambitious”?

We use 8 criteria to identify high-growth and ambitious companies. Each of these are a sign of external validation that a business is either actively growing or creating ambitious growth plans.

All companies featured in this report have met at least one of these growth triggers.



Equity investment



Venture debt



Accelerator attendance



Grant recipients



Scaleups



High-growth lists



MBO/MBI



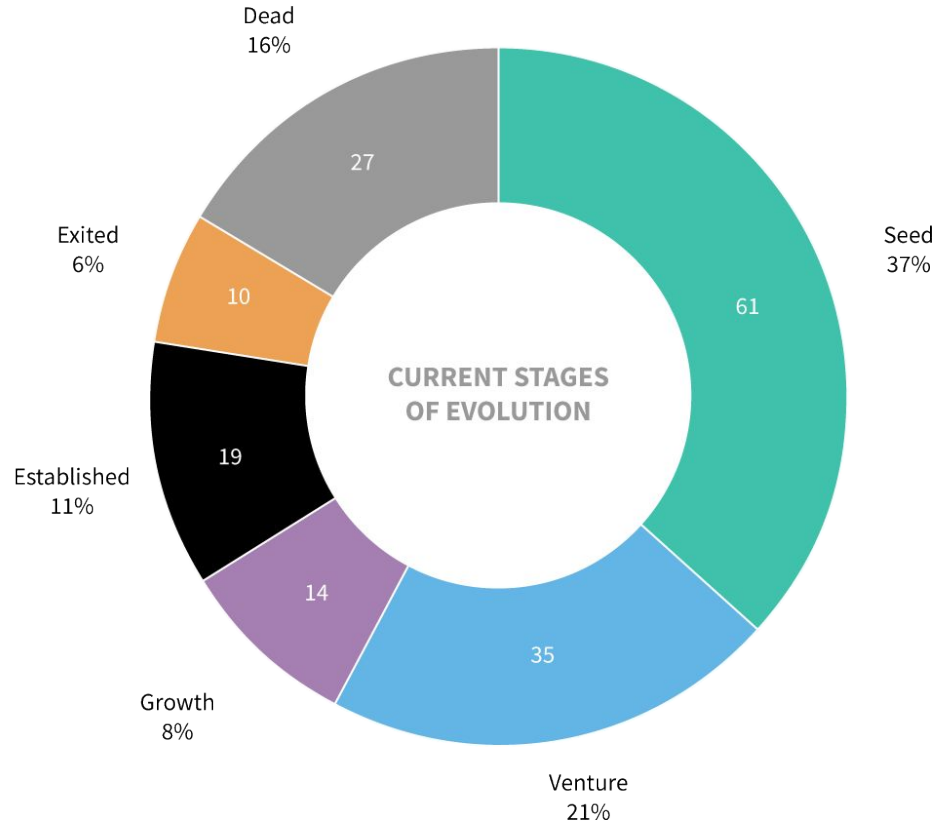
Academic spinouts

Stages of evolution

There are **129** active, ambitious clean energy companies in the UK.

An additional **10** have exited the market, either through an IPO or an acquisition, and **27** are no longer trading.

The sector is young, with **58%** of companies at either seed or venture stage and only **11%** at established. Comparing this to all ambitious companies across any sector these figures are 47% and 23% respectively.



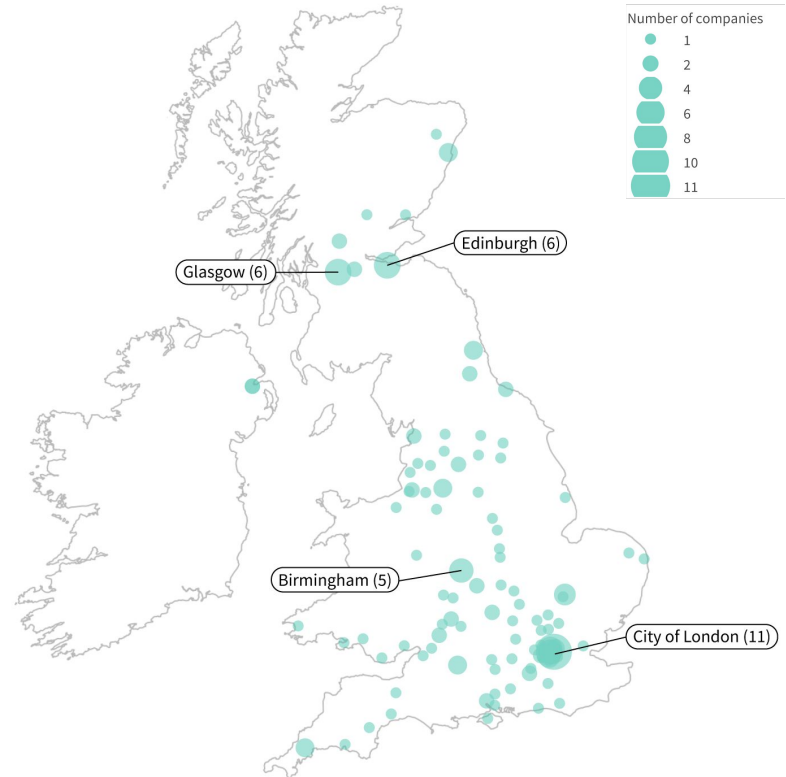
Geographical distribution

The UK's clean energy companies are fairly well distributed across the country, with companies spread across England and a small hub in Scotland.

Indeed, Scotland is leading the way for carbon emission reduction in the UK, having met their commitment to a **42%** reduction by 2020 six years early.

In May 2018 the Scottish government increased their target to a **90%** reduction for all greenhouse gases by 2050 (compared to 1990 levels).

GEOGRAPHICAL DISTRIBUTION OF COMPANIES

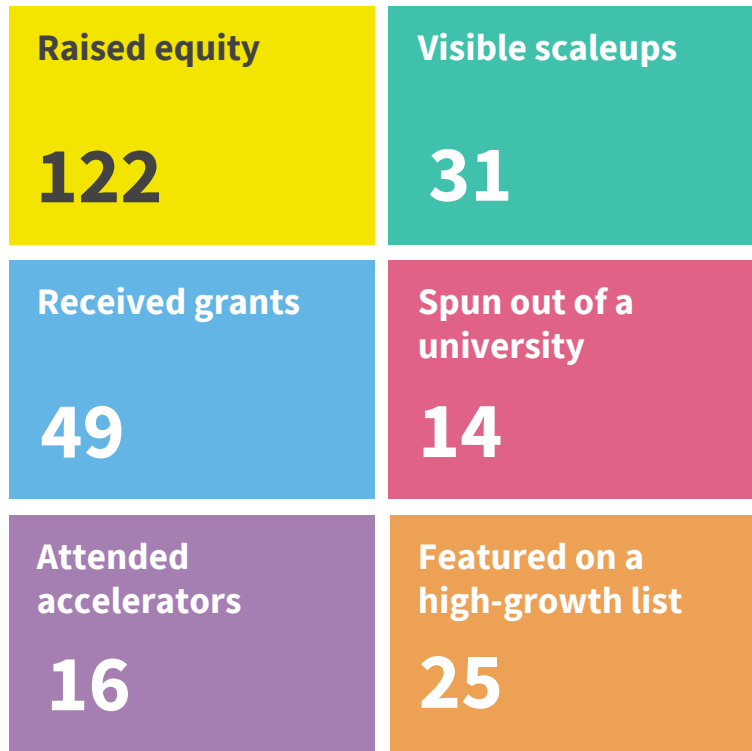


Methods of growth

73% of private clean energy companies have used equity funding to scale, significantly more than the rate across all ambitious companies: **53%**.

24% of clean energy companies are visible scaleups, double the rate of other companies across any sector. They are also twice as likely to be spinouts than the average.

But only **10%** of clean energy have attended accelerators, which is half the rate of all ambitious companies.

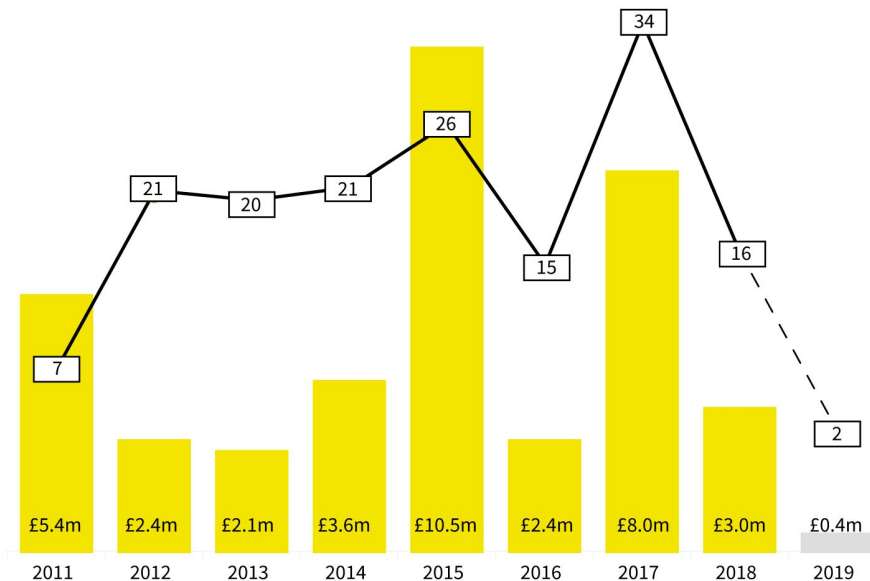


Grant statistics

The clean energy sector has a high concentration of grant recipients, with **38%** of the active companies having received a large innovation grant. The rate across all ambitious companies is just **7.5%**.

As with most IP-heavy sectors, some clean energy companies are capital intensive and require significant time to reach market readiness. Patient capital therefore becomes an increasingly important support mechanism for the sector.

NUMBER OF GRANTS AND AMOUNT GRANTED



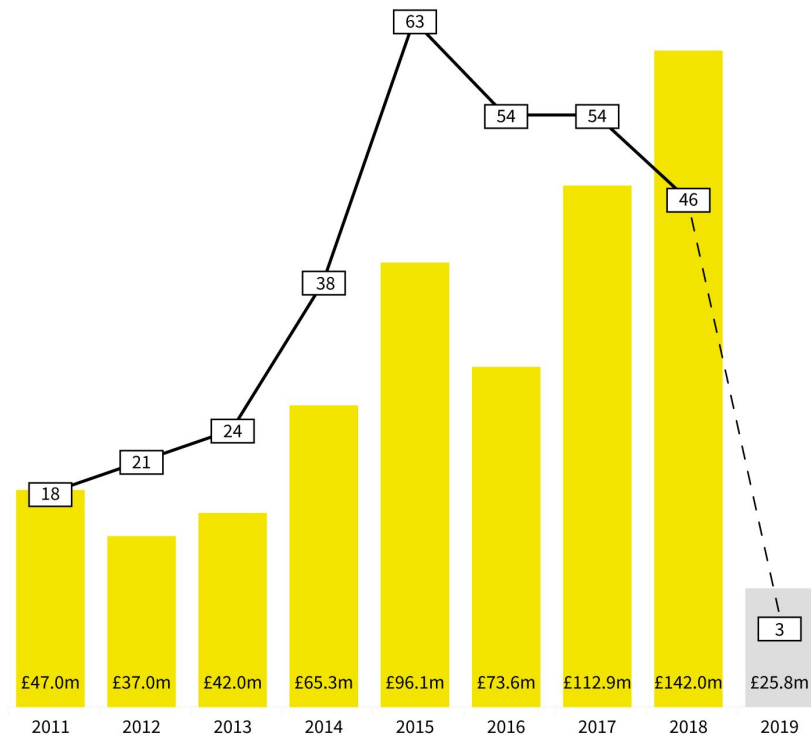
Fundraising statistics

Since 2011, clean energy companies have secured **£739m** in equity fundraising. Of this, **£209m** has never been publicly disclosed.

2018 was a record year for the sector with **£142m** of equity invested. This was steered by clean energy supplier Bulb's £60m round in June, backed by DST Global and Magnetar.

The deal valued Bulb at **£351m**, and we suspect that the company will reach a billion dollar valuation over the next year or so.

NUMBER OF DEALS AND AMOUNT RAISED



Top investors

When looking at deal numbers alone, Scottish investors dominate the ranking of fund managers investing into clean energy companies in the UK, taking the top three places.

Scottish Enterprise is the most prolific investor in the sector, completing **12** deals since 2011.

TOP FUND MANAGERS BY NUMBER OF DEALS SINCE 2011

Scottish Enterprise	12
Braveheart Investment Group	6
Scottish Equity Partners	6
Parkwalk Advisors	4
BGF	3

With the combination of Beauhurst's in-depth data and powerful tools, we can identify some interesting cohorts within the clean energy ecosystem.

Top companies by total value of innovation grants received

Company	Total grants received	Number of grants	Headcount	Stage of evolution
Nova Pangaea Technologies	£5.09m	3	5-9	Seed
Bowman Power	£1.43m	3	50-99	Growth
Loowatt	£1.22m	5	25-49	Venture
Smart Fibres	£903k	7	25-49	Growth
Bennamann	£887k	5	<5	Seed

Top companies by equity received

Company	Total received	Number of fundraisings	Headcount	Stage of evolution
Bulb	£66.0m	6	100-249	Growth
Zenobe	£62.6m	2	10-24	Growth
Bowman Power	£50.7m	9	50-99	Growth
First Light Fusion	£34.3m	6	25-49	Venture
Azuri Technologies	£34.0m	10	100-249	Venture

Top companies by latest pre-money valuation*

Company	Latest pre-money valuation	Headcount	Stage of evolution
Bulb	£351.2m	100-249	Growth
Swift Technology	£58.1m	5-9	Venture
First Light Fusion	£48.8m	25-49	Venture
Tidal Lagoon Power	£30.0m	50-99	Venture
PassivSystems	£27.4m	50-99	Growth

*who have raised investment where we have managed to calculate a valuation

Top companies by growth in turnover from 2017 - 2018*

Company	Latest turnover	Growth from previous	Headcount	Stage of evolution
Bulb	£183m	1730%	100-249	Growth
First Tech	£24.3m	166%	25-49	Growth
Duality Group	£12.9m	84%	50-99	Venture
RiverRidge Recycling	£49.9m	44%	250-499	Growth
Ecotricity	£175.7m	39%	500-999	Established

*who have filed full accounts in both 2017 and 2018

Top companies by growth in employee count 2017 - 2018*

Company	Latest employee count	Growth from previous	Stage of evolution
Bulb	67	205%	Growth
Duality Group	181	106%	Venture
Smarter Grid Solutions	65	51%	Venture
HBS Group Southern	97	15%	Established
3sun Group	343	15%	Established

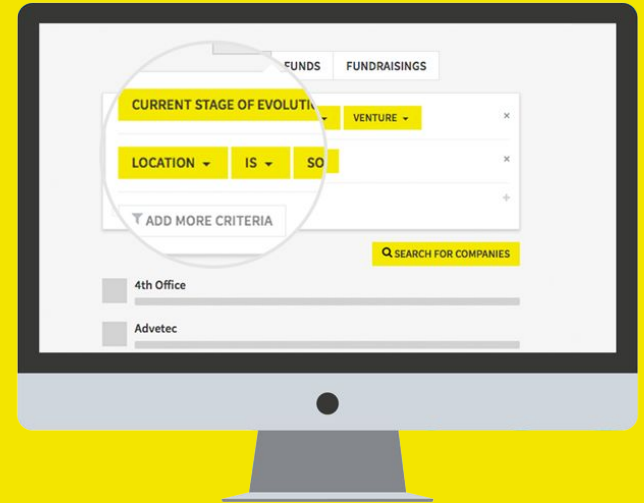
*who have filed full accounts in both 2017 and 2018

Explore all the ambitious companies in the UK with a subscription to Beauhurst

Beauhurst is a searchable database of the UK's most ambitious companies – from seed-stage startups to growing scaleups and beyond.

We collect and manually curate hundreds of data-points on over 23,000 companies.

Find, analyse and download information with a [subscription to the Beauhurst platform](#).



Beauhurst

beauhurst.com [@beauhurst](https://twitter.com/beauhurst) [in/beauhurst](https://www.linkedin.com/company/beauhurst)